

BEFORE
THE FEDERAL MARITIME COMMISSION

DOCKET NO. 24-19

PELOTON INTERACTIVE, INC.
Complainant

vs.

FLEXPORT INTERNATIONAL LLC
Respondent

**COMPLAINANT’S SECOND MOTION FOR EXTENSION
OF THE SCHEDULING ORDER**

Complainant Peloton Interactive, Inc. (“Peloton”) respectfully moves for an extension of the deadlines in the December 20, 2024 First Amended Scheduling Order (“Scheduling Order”). For the reasons set forth below, Peloton respectfully submits that good cause exists to extend all deadlines in the Scheduling Order to allow for the completion of fact discovery and the development of a full and complete record in this proceeding.

I. BACKGROUND

On December 20, 2024, Peloton completed its production of documents to Flexport International LLC (“Flexport”). On December 27, 2024, Peloton counsel notified Flexport that its responses to Peloton’s Discovery Requests were deficient, including Flexport’s unilateral decision to limit its production of relevant documents to April 1, 2021 onward.¹ On December 28, 2024, Peloton counsel requested a meet and confer with Flexport counsel to try and resolve

¹ Peloton’s initial request for documents defined the relevant period as January 1, 2020, to present, but certain discovery requests sought information and/or documents from 2018 to present.

the parties' discovery issues. On January 3, 2025, the parties held a meet and confer during which Flexport refused to supplement its production. Following this meet and confer, Flexport filed its own motion to compel, which is also currently pending before the Presiding Officer.² On January 14, 2025, Flexport's counsel confirmed that Flexport's position remained unchanged. That same day, Peloton filed a Motion to Compel Flexport to respond to certain Peloton interrogatories and requests for production (collectively, "Discovery Requests").³ On January 21, 2025, Flexport filed its response in Opposition to Peloton's Motion to Compel.⁴

Although the Presiding Officer has not yet ruled on either party's Motion to Compel, in denying Flexport's Motion for Judgment on the Pleadings on January 29, the Presiding Officer emphasized that "the information necessary to determine whether Flexport's practices were reasonable or unreasonable ***may well be entirely in the possession of Flexport, reinforcing the import of discovery and a more fully developed record here in fairness to Peloton....***"⁵ Peloton's Motion to Compel seeks an order directing Flexport to amend its written discovery responses and supplement its production to sufficiently respond to Peloton's Discovery Requests. Here, due to the size and complexity of Peloton's complaint, involving approximately 3,200 shipments over a three-year period and over \$30 million in disputed charges, ensuring a complete record is crucial, particularly when the parties dispute fundamental issues, such as the terms of Peloton's cargo carriage and Flexport's status under FMC regulations.

Under the Scheduling Order, depositions are currently scheduled to conclude by February 28, 2025; both Peloton and Flexport have issued notices of deposition. On January 23, 2025,

² Dkt. No. 30.

³ Dkt. No. 32.

⁴ Dkt. No. 33.

⁵ Dkt. No. 35 at p. 7 (emphasis added).

Peloton issued deposition notices for Flexport witnesses, confirmed the availability of witnesses noticed by Flexport, and requested mutually agreeable dates for scheduling depositions. On January 24, 2025, Flexport counsel stated that he would confirm dates for both Peloton and Flexport noticed witnesses. However, Flexport has not confirmed any dates, no depositions have taken place, and as discussed more fully below, Flexport's failure to sufficiently respond to written discovery and produce key documents has impeded Peloton's ability to prepare for and conduct depositions. Accordingly, an extension of the existing schedule is necessary.

II. ARGUMENT

The November 8, 2024 Scheduling Order states that a "motion which sets forth good cause to extend the schedule...will be considered if the parties are unable to meet the deadlines above."⁶ Peloton asserts that there is substantial good cause to extend the schedule at this time, given the case's complexity, the substantial discovery efforts undertaken to date, and the discovery disputes at issue in the pending motions to compel.

a. Flexport's Refusal to Supplement its Production Mandates an Extension of the Schedule

Flexport's ongoing refusal to supplement its production, requiring Peloton to file its pending Motion to Compel, has delayed discovery and created the need for an extension of the current schedule. As set forth in detail in Peloton's Motion to Compel, Flexport improperly limited its responses to Peloton's Discovery Requests to April 1, 2021, on the basis that the FMC's three-year statute of limitations for reparations claims limits the applicable discovery period. However, the Presiding Officer rejected Flexport's argument that Peloton's claims are barred by the statute of limitations in her January 29, 2025 Order Denying Motion for Judgment on the Pleadings and Denying Cross-Motion to Strike. The Presiding Officer explained that the

⁶ Dkt. No. 19 at p. 4.

“three-year statute of limitations only bars the award of reparations, not the filing of a complaint or the issuance of a cease and desist order.”⁷ Accordingly, “***it would not be appropriate to dismiss the claims related to the invoices at this stage, based solely on their date of issue.***”⁸ The survival of Peloton’s claims means that it should be entitled to discovery for the full relevant period at issue (i.e., back to January 1, 2020).

By limiting its production to April 1, 2021 onward, Flexport is refusing to produce documents crucial to Peloton’s claims, including the shipment terms between Flexport and Peloton,⁹ as well as documentation for at least 1,240 shipments identified in Peloton’s Amended Complaint. Even for invoices issued on or after April 1, 2021, Flexport has failed to produce relevant documents, as the facts surrounding those charges would have occurred before April 1, 2021.¹⁰ Peloton’s ability to prepare for and take depositions of Flexport’s witnesses is significantly hampered by these deficiencies. Even if Peloton had the full range of required discovery from Flexport, its counsel has not provided dates for deposition of its witnesses, and there is not enough time for discovery to be completed and those depositions to take place prior to the current February 28 deadline. On this basis, Peloton respectfully requests that the schedule be extended.

b. The Size and Complexity of This Case Mandates an Extension of the Current Schedule

⁷ Dkt. No. 35 at p. 4.

⁸ *Id.* at p. 5 (emphasis added).

⁹ Dkt. No. 35 at 5-6 (“there is considerable material factual disagreement between the parties, ***including over the relevant shipment terms*** and whether Flexport acted as an NVOCC for the contested shipments”) (emphasis added).

¹⁰ Peloton, meanwhile, has made every effort to be responsive to Flexport’s discovery requests, including supplementing its discovery responses and providing Flexport a spreadsheet identifying responsive documents by bates number. See Peloton’s Response to Flexport’s Motion to Compel, Dkt. No. 31 at p. 8.

FMC regulations mandate that discovery be completed within 150 days of the service of a respondent's answer (46 C.F.R. §502.141(g)). While this is a reasonable timeframe for a dispute of modest size, it is a substantial challenge for a case of this size and complexity, involving approximately 3,200 shipments over a three-year period and over \$30 million in disputed charges.¹¹ The sheer volume and intricacy of the relevant data necessitate a longer discovery period to ensure that all relevant information can be produced by Flexport for Peloton's examination. This is especially necessary given that the parties here dispute fundamental issues, such as the terms under which Peloton's cargo was carried and even Flexport's status under FMC regulations.

Peloton recognizes the importance of promptly resolving claims under the statutes administered by the Commission. However, in large, complex cases like this one, policy considerations strongly favor allowing sufficient time for a full development of the evidentiary record, rather than strict adherence to an initial schedule. In *Samsung Electronics America, Inc. v. SM Line Corp.*, Dkt. No. 23-01, 2024 WL 4357751, at *1 (ALJ Sept. 23, 2024), it was emphasized that the policy and responsibility of the Commission, and by delegation of authority, the presiding judge, is to inquire into and consider all relevant facts. Adherence to a schedule should not override these policy considerations. *See also Anderson International Transport and Own Anderson - Possible Violations of Sections 8(a) and 19 of the Shipping Act of 1984*, Dkt. No. 07-02, 2009 WL 6084172, at *2 (FMC Dec. 4, 2009) (reopening the record because Commission precedent "favors the agency making its decision based on the most complete record available").

c. Proposed Amended Schedule

¹¹ Exhibit A to the Verified Amended Complaint.

If the Presiding Officer grants Peloton's Motion to Compel and orders Flexport to supplement its production, additional time will be necessary for Flexport to comply and to afford Peloton the opportunity to review the supplemental production before depositions can commence. Thus, for the reasons stated above, Peloton respectfully requests that the Presiding Officer extend the schedule as follows:

Event	Current Deadline	Proposed Deadline
Complete Fact Depositions	February 28, 2025	April 18, 2025
Expert Discovery Begins/Joint Status Report	March 5, 2025	April 21, 2025
Expert Reports Due	March 21, 2025	May 5, 2025
Responses to Expert Reports	April 4, 2025	May 19, 2025
Expert Depositions Completed	April 18, 2025	June 2, 2025
Completion of All Discovery	April 18, 2025	June 2, 2025
Complainant's initial brief, proposed findings of fact, and appendix	May 16, 2025	June 30, 2025
Respondent's opposition brief, responses to proposed findings of fact, proposed findings of fact, and appendix	June 13, 2025	July 28, 2025
Complainant's reply brief and responses to proposed findings of fact	June 27, 2025	August 11, 2025

III. MEET AND CONFER CERTIFICATION

Pursuant to 46 C.F.R. §§ 502.71(a), on January 31, 2025, counsel for Peloton informed Flexport counsel that it intended to file a motion for extension of the Scheduling Order. On February 3, 2025, after receiving no response from Flexport counsel, Peloton counsel again emailed Flexport counsel regarding its position on the motion and was advised that he was

awaiting a response from Flexport. On February 4, 2025, counsel for Peloton again reached out to Flexport counsel regarding their position. At that time, Flexport requested the proposed deadlines and a copy of the motion, which Peloton agreed to provide. Later that same day, Flexport advised that it would be filing a motion in opposition.

IV. CONCLUSION

For the foregoing reasons, Peloton respectfully requests that its motion to extend the Scheduling Order be granted.

Dated: February 5, 2025

Respectfully Submitted,

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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